Single-specialty models are scaling rapidly, while diagnostics and medical devices remain significant growth opportunities. We are invested in PharmEasy, which has a significant diagnostics business through Thyrocare. In medical devices, we see opportunities to scale businesses within the "Make in India" framework by accessing international IP for both domestic and global markets. Value creation will also be significantly driven by scaling and deployment of AI across the ecosystem.

Q: What are the biggest gaps that still need to be addressed to build a stronger and more resilient ecosystem?
A: India has made real progress, but there is always more we can do. Capacity is one area, particularly in expanding the clinical workforce and reaching underserved Tier-II and Tier-III cities. Affordability is another. Insurance penetration is improving, but many families still face significant out-of-pocket costs. We also need more investment in primary and preventive care. There is also a significant opportunity in medical devices and higher-value consumables supply chain.

Q: The sector is witnessing a new wave of expansion and consolidation. How do you see the competitive landscape evolving?
A: The sector has matured considerably, and we expect more organised platforms to emerge. There is also ample room for well-run single-specialty platforms to grow, especially where focused expertise and standardised care pathways can deliver strong outcomes. Our investment in Cloudnine Hospitals, which caters to the fast-growing mother and child opportunity, is a good example.



Q: India has established itself as a global force in pharmaceuticals and is expanding its footprint in healthcare services and life sciences. Where do you see the country's next competitive advantage emerging from?
A: India is already well-established in pharmaceuticals. We see the next wave of opportunity in affordable medtech, digital health, and selected areas of biotech and life sciences. India has a combination of scientific talent and manufacturing depth, as well as a large domestic market. That is needed to build products for both domestic and international markets.

Q: Innovation is reshaping healthcare. How is it influencing investment decisions, and what opportunities does it create for Indian healthcare businesses?
A: We see healthcare as an industry that will be enabled by AI, whether through improved processes, customer experience, diagnostics, or drug discovery. For India, the most compelling opportunity is whether technology can help bring down the cost of good care or extend services into communities where specialists are harder to access. We are encouraging our portfolio companies to integrate AI effectively into their business models. Given the depth of tech talent in the country, I think Indian businesses can adapt well.

"We will work with our portfolio companies to scale organically and through M&As, focusing on building a high-quality presence"

Q: What policy and regulatory reforms would have the greatest impact on attracting long-term capital and accelerating the growth of India's healthcare sector?